

City Council Work Session Minutes
March 18, 2019

CALL TO ORDER

Mayor Filkins opened the meeting at approximately 4:20 pm.

ROLL CALL

Present: Council Members: Schippers, King, Engels, Mayor Filkins

Absent: Council Member: Spoelman

Staff Present: Peccia, Roberts, Dietlin, Wallace, Ottjepka, Wasson

APPROVAL OF AGENDA

Motion was made by King and supported by Engels to approve the agenda as presented.

Motion unanimously approved.

PUBLIC COMMENTS

There were no public comments.

DISCUSSION AND REVIEW OF THE FISCAL YEAR 2020 ANNUAL OPERATING BUDGET

City Manager Peccia made a few brief comments regarding the budget approval process. He distributed and discussed a document entitled “Total Amount of State Revenue Sharing Lost Between 2003 and 2017”. He noted the information on the document was obtained from the Save MI City website.

Owen Roberts, Director of Finance, summarized the highlights of the Fiscal Year 2020 Annual Operating Budget. (see attachment)

Conversation occurred between Council and City Staff regarding some of the information presented such as water/sewer rates, street maintenance, and installation of a water fountain on the walkway near the shuffleboard court.

Peccia noted the budget is a “living document”. He stated there will likely be budget amendments required as the various development projects move forward.

ADJOURNMENT

Mayor Filkins adjourned the meeting at 5:34 pm.

Respectfully submitted,

Carla J. Filkins, Mayor

Sandra L. Wasson, City Clerk

FY2020 Budget Discussion Items

GENERAL FUND

General Fund Revenue Highlights

- Taxable Value/Impact of Personal Property Tax Reform
 - Overall value projected to **increase** \$5,000,000 (2.25%)
 - Real property value **increased** \$6.5 million; personal property **down** slightly.
- Estimated Reimbursement Calculations

Fiscal Year	Original Budget	Estimate From State	Actual	Difference
2017	\$320,000	\$324,516	\$612,688	+\$288,172
2018	\$350,000	\$349,436	\$665,819	+\$316,383
2019*	\$390,000	\$416,821	\$587,679	+\$170,858
2020	\$500,000	\$431,027	?	?

* For FY2019, there may be an additional payment in May.

- Anticipate increase of approximately \$0.52 for solid waste removal upon proposed extension of contract with Republic Services.
- As discussed in Capital Improvement Program work session, projecting to use \$600,000 in General Fund reserves to replace Engine 2 in the Fire Department. Still maintain a fund balance in excess of policy.

General Fund Expenditure Highlights

- 2.0 – 3.0% COLA's for all employee groups; USW contract expires 6/30/19 and negotiations are underway.
- **Capital Outlay**

Concrete Driveway Approaches	\$25,000
Police Department Upgrades	25,000
Body Worn Cameras	20,000
In-Car Cameras	15,000
Fire Truck	600,000
Programmable Pavilion Sign	30,000
Riding Lawn Mower	9,000
Total	\$724,000
- Transfers to Other Funds
 - Cemetery Operating – maintained at \$60,000;
 - Local Street Fund – down \$50,000 (enabled by projected increase in Act 51 Revenue).

WATER AND SEWER FUND

Water and Sewer Fund Revenue Highlights

- Proposed 5% overall average rate increase; increase will be split between water (+10%) rates and sewer (+1.5%) rates. Justifications:
 - Final Phase of well field relocation – prepare for additional costs and debt service; project now expected to cost approximately \$8 million;

- Professional rate study results confirmed need for regular and systematic series of rate increases to fully fund needed capital investments.
- New late fees implemented several years ago continue to mitigate need for additional revenue and fund costs of delinquent collections.
- Leachate continues to come in above budget, but based on landfill now building deep injection well this revenue will go away; any additional revenue received prior to their well going online will be reinvested into system.

Water and Sewer Expense Highlights

- Increased budget for well repairs and sewer main repairs (based on SAW grant analysis) to \$50,000;
- No staffing changes other than COLA;
- Depreciation and Interest will increase next year based upon new well field project;
- Current budget for Interest Expense not reduced for several years even though total interest costs are low; this will help offset impact of increase when well field loan draws begin.

Water and Sewer Capital Highlights

- Well Field (\$3,500,000 originally estimated; initial projections indicate this project could cost significantly more – more in the area of \$8 million in addition to amount already spent);
- Other Infrastructure (\$577,000);
- Vehicles (2 service trucks - \$55,000);
- Building Improvements (\$8,000);
- Equipment (\$168,000);
- Total \$8,808,000.

MAJOR AND LOCAL STREET FUNDS HIGHLIGHTS

Revenue Highlights

- Act 51 Revenues – fairly significant increase based on legislative reform – increase in fuel taxes and vehicle registrations. These revenues flow through MDOT and MVHF formulas:
 - Major Street Fund: estimated \$50,000 increase from current year projections;
 - Local Street Fund: estimated \$10,000 increase from current year projections;
- Transfer from Major Street Fund to Local Street Fund increased to \$225,000 (can legally transfer 25% of Major Street revenue to Local Street);
- Because of revenue increases – reliance on General Fund down to \$80,000;
- Paid off 2004 Debt issue in FY2018. Freed up debt service capacity; propose to issue bonds in FY2020 of a minimum of \$2.0 million to fund the next three (3) years of scheduled projects.

Expenditure Highlights

- Fairly status quo with street maintenance operations;
- Added one additional maintenance worker in FY2018; enabled by changing management structure when former City Engineer retired in 2017.

OTHER BUDGET HIGHLIGHTS

- Stores and Garage Fund (DPW Fleet)
 - Capital Spending
 - 29' Bucket Truck (\$65,000)
 - Plow Truck (\$170,000)
 - Front End Loader (\$110,000)

- Total \$345,000; will need cash-flow assistance either from other identified funding sources or internal loan.
- Wireless Data Project
 - Piggyback on fiber installation project;
 - Install hardware at water tower, and also at ancillary facilities to provide wireless connectivity at these building;
 - Will enable City to eliminate need for separate internet and data connections at all other facilities, saving over \$500 per month.